

EXAMINERS' COMMENTS ON THE PERFORMANCE OF THE EXAMINEES

PAPER – 4: COST AND MANAGEMENT ACCOUNTING

Specific Comments

Question 1.(a) This numerical question was based on 'Marginal Costing'. Question requires to calculate the break-even sales in value for each machine and calculate sales level in units where both the machines are equally profitable. Overall performance of the examinees was **Above Average**.

(b) This numerical question was based on 'Unit & Batch Costing'. The requirement of this question was to calculate contribution per unit of good units after adjusting rejected units and also ascertain the company's total monthly profit. Overall performance of the examinees was **Below Average**.

(c) This numerical question was based on 'Material Cost' and the requirement of the question was to calculate the maximum consumption per day and minimum consumption per day for raw material. Overall performance of the examinees was **Below Average**.

Question 2.(a) This numerical question was based on 'Cost Sheet'. The requirement of the question was to prepare a cost statement. Overall performance of the examinees was **Average**.

(b) This numerical question was based on 'Employee Cost and Direct Expenses'. The examinees were asked to calculate earnings of a skilled worker under Halsey (50% plan) and Rowan plan and suggest which plan is more beneficial for the worker. Most of the examinees performed well, hence the overall performance was **Good**.

Question 3.(a) This numerical question was based on 'Process Costing'. The requirement of this question was to prepare Process X account, Process Y account, Normal Loss account and Abnormal Gain account. Overall performance of the examinees was **Average**.

(b) This numerical question was based on 'Marginal Costing'. The requirement of the question was to calculate the effect on profits under three alternative and recommend which alternative is most likely to be adopted to get the maximum profit. Overall performance of the examinees was **Good**.

Question 4.(a) This numerical question was based on 'Service Costing'. The requirement of this question was to calculate the bus fare to be charged per passenger. Overall, **Average** performance was observed.

(b) This numerical question was based on 'Overheads- Absorption Costing Method'. The question required the candidate to calculate overhead recovery rates for 2023 based on actual costs and prepare a comprehensive cost statement for the bulk order and determine the sales required for achieving a profit margin of 20% on the final sales amount. Overall performance of the examinees was **Below Average**.

Question 5.(a) This numerical question was based on 'Standard Costing'. The requirement of this question was to calculate actual labour rate per hour, standard hours required, labour efficiency variance, standard labour cost per unit and actual labour cost per unit. Overall performance of the examinees was **Average**.

(b) This numerical question was based on 'Cost Accounting System'. The requirement of this question was to journalise few transactions assuming cost and financial accounts are integrated. Overall performance of the examinees was **Below Average**.

(c) This theoretical question was based on 'Job Costing'. The requirement of the question was to define spoiled work and defective work and discuss the treatment of defective work in certain circumstances. Overall performance of the examinees was **Below Average**.

Question 6.(a) This theoretical question was based on 'Cost Accounting Systems'. The requirement of this question was to explain the steps involved in the procedure for reconciliation of cost and financial accounts and circumstances where reconciliation statement can be avoided. Overall performance of the examinees was **Above Average**.

(b) This theoretical question was based on 'Introduction to Cost and Management Accounting'. The requirement of this question was to state the cost unit for few industry sectors. Overall performance of the examinees was **Above Average**.

(c) This theoretical question was based on 'Overheads – Absorption Costing Method'. The requirement of this question was to explain the methods that can be used for controlling Selling and Distribution Overheads. Overall performance of the examinees was **Poor**.

OR

Internal Choice Question

This theoretical question was based on 'Overheads -Absorption Costing Method'. The requirement of this question was to suggest any one basis of re-apportionment of service department overheads over production department overhead in given contexts. Overall performance of the examinees was **Poor**.

PAPER – 5: AUDITING AND ETHICS**Specific Comments**

Question 1.(a) Considerations while framing audit strategy and whether procedures planned are in line with SA 300: Majority of the examinees could not explain the need for establishment of audit strategy and the factors to be considered while establishing audit strategy. Examinees simply concluded that the planned inquiry with the IT Head is in line with SA 300 without appropriate discussions about understanding of the legal and regulatory framework and how the entity is complying with risk assessment procedures.

(b) Key responsibilities of the auditor and audit procedures in relation to segment information: Many examinees failed to explain the key responsibilities of the auditor in relation to segment information. Further, they could not specify the audit procedure to be performed to ensure that the methods used by the management to present segment information are in accordance with the applicable financial reporting framework.

(c) Existence of a satisfactory control environment is not an absolute deterrent to fraud: Most of the examinees could not justify and explain how the existence of a satisfactory control environment is not an absolute deterrent to fraud. Moreover, many examinees incorrectly answered in context of inherent limitations of Internal control rather than control environment.

Question 2.(a) Difference between "Historical Financial Information" and "Prospective Financial Information" and Level of assurance in Prospective financial information: Majority of the examinees had explained the differences in general manner. Many of them had written irrelevant answers discussing types of assurances like limited assurance, reasonable assurance and lower

level of assurance. With regard to the second part of the question on level of assurance on prospective financial information examinees could not answer properly except a few stating moderate level of assurance.

(c) Sufficient appropriate audit evidence: Many examinees were able to give the meaning of sufficiency of audit evidence and mentioned the factors to be considered to ensure that the evidence collected is sufficient. However, some of the examinees were not able to explain the factors

Question 3.(a) Presentation in terms of Schedule III of the Companies Act, 2013 and audit procedures for additions to Intangible assets: Most of the examinees failed to explain the second part of the question with regard to audit procedures for verifying additions to intangible assets during the year due to their poor knowledge on the matter.

(b) Going Concern and audit procedure in relation to cash flow forecast: Majority of the examinees were unable to explain the purposes of the statutory auditor of the company in the given situation from going concern point of view but could identify the going concern. With regard to the second part of the question, many examinees could not explain the audit procedures to be performed in relation to the cash flow forecast and answered in a general manner.

(c) Basis for Disclaimer of Opinion: While most of the examinees were unable to mention the amendment in the heading as "Basis for Disclaimer of Opinion", they were able to describe the matter giving rise to the modification. Additionally, majority of the examinees could not elucidate the items not to be included in the auditor's report when the auditor disclaims an opinion on the financial statements.

Question 4.(c) Reporting under Emphasis of Matter paragraph: Though most of the examinees were able to identify that the given case should be reported under "Emphasis of Matter paragraph", majority of them could not state the matters to be included in an Emphasis of Matter paragraph in the Auditor's Report. Few examinees have unnecessarily explained the provisions of CARO, 2020, Key Audit Matters and Other Matters in Auditor's Report without understanding the requirement of the question.

Question 5.(a) Documentation of overall audit strategy, audit plan, significant changes: Most of the examinees have written general answers on

meaning of overall audit strategy, audit plan, significant changes made during audit engagement instead of documentation of the same as per the requirement of the question.

(b) "Those Charged with Governance": Majority of the examinees were able to mention one or two relevant points out of the total five expected from them to be correctly mentioned. Few examinees have explained about the matters to be communicated to Those Charged with Governance instead of explaining who can be the 'Those Charged with Governance'.

(c) Investing the funds of Co-operative society: Most of the examinees lacked knowledge of the provisions of section 32 of the Central Act, with regard to the permissible investments for co-operative society's funds. However, examinees have given the correct conclusion but their answers lacked justification without explaining the provisions of the Act.

Question 6.(a) Steps involved in the verification of fees collected from examinees: Examinees highlighted the items that are to be checked like examinees register, fees register, cash book, books of account, admission fees, fines for late payment, caution deposit, receipt book, etc. in an isolated manner but could not correlate how these items are to be verified and examined by explaining the audit procedures like tracing, comparing, totaling, confirming, cross checking, authorizing in relation to the respective records maintained for collection.

(b) Comparative financial statements: 'Treatment in audit report and disclosures': Most of the examinees failed to answer the first part of the question with regard to auditor's duty regarding the matters to be mentioned in the Modification paragraph in the auditor's report. However, for the second part, examinees were able to refer to "Other Matter paragraph" but could not state its contents.

(c) Types of audit tests and factors determining when and which tests to apply: A few examinees attempted this part of the question. They were able to write relevant answer for the first part of the question, however, failed to give for the second part of the question with regard to factors determining which tests to apply.

PAPER – 6: FINANCIAL MANAGEMENT & STRATEGIC MANAGEMENT**SECTION A – FINANCIAL MANAGEMENT****Specific Comments**

Question 1.(a) This was a numerical question requiring preparation of cash budget and finding out the amount of short-term loan required or short term investment to be made considering the minimum cash balance to be maintained. Many examinees answered it well, however some examinees failed to arrive at correct figure of short term loan required. Overall performance was **Above Average**.

(b) This was a numerical question to calculate the EPS, Operating Leverage, Financial Leverage and Combined Leverage. The performance of the examinees was **Good**.

(c) This was a numerical question requiring examinees to determine the price of Equity share and the dividend payout ratio for a stated share price using Walter's Model. The performance of the examinees was **Above Average**.

Question 2.(a) This was a numerical question based on calculation of cost of equity share capital, cost of convertible debentures and cost of bank loan then calculate the Weighted Average Cost of Capital (WACC) of the company using market value weight. Many examinees failed to calculate the correct cost of equity shares using CAPM method and cost of convertible debentures which resulted in incorrect WACC. The performance of the examinees was **Average**.

(b) This was a numerical question requiring examinees to calculate the working capital requirement using the operating cycle method. The performance of the examinees was above **Average**.

Question 3.(a) This was a numerical question which required examinees to calculate the Net Present Value (NPV) and Profitability Index (PI) of the proposed project and advise the company on their basis. Most of the examinees failed to calculate correct cash inflows and cash outflows for the calculation of NPV and PI. The performance of the examinees showed lack of conceptual clarity on capital budgeting decisions. Overall performance was **Below Average**.

(b) This was a numerical question on Ratio Analysis. Examinees were required to prepare the Balance Sheet of the Company. The performance of the examinees was **Good**.

Question 4.(a) This was a theoretical question to explain the Environmental, Social and Governance (ESG) linked bonds. Most of the examinees exhibited poor knowledge. The performance of the examinees was **Poor**.

(b) In this theoretical question, examinees were required to discuss the objectives and advantages of wealth maximization goal of financial management. The performance of the examinees was **Poor**.

(c) In this theoretical question, examinees were asked to state any two advantages of virtual banking. The performance of the examinees was **Good**.

OR

This was a theoretical question requiring the examinees to state the concept of exclusion of Financing cost principle. The question was attempted by very few examinees. The performance of the examinees who attempted the question was **Good**.

SECTION – B: STRATEGIC MANAGEMENT

Specific Comments

Question 5.(a) The overall performance was below average. Many examinees were unable to identify the Matrix Structure. Even among those who correctly identified it, many faced difficulties in adequately explaining its advantages and disadvantages.

(b) The performance was average. While examinees were able to correctly explain the strategic approaches, they struggled to outline the company's future strategies for achieving a competitive advantage.

(c) The examinees correctly identified the product as a 'Star,' but their performance remained average as they struggled to effectively explain the appropriate strategies thereafter.

Question 6.(a) The performance was below average. Examinees lacked proper knowledge of the concept and were unable to provide the expected answers. Their responses were vague, with many focusing on the cost aspect instead of explaining the internationalization of business. Additionally, the steps of strategic planning were presented in a disorganized manner, lacking proper sequence.

(b) The performance was commendable. Most examinees demonstrated sufficient knowledge of Mendelow's Matrix and explained it accurately.

Question 7.(a) The performance was above average. Examinees attempted this question appropriately and effectively explained the networks of relationships between the three levels.

(b) The performance was below average. Examinees struggled to understand the concept of strategic performance measures, leading to incorrect answers. Many responses were vague and irrelevant.

Question 8.(a) The performance was average. Most students correctly mentioned and explained the headings of intense rivalry, but some struggled to contextualize it within the force outlined in the question.

(b) The performance in the first option was above average, with examinees demonstrating a clear understanding of Ansoff's Matrix. However, in the second option, performance was poor due to a lack of understanding of strategic drivers in relation to other concepts, such as key success factors, leading to incorrect responses.